

Transitional Measures

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to:

1. (1) a _UK Solvency II firm_;
2. (2) the _Society_, in accordance with General Application 3;
3. (3) _managing agents_, in accordance with General Application 3; and
4. (4) (in respect of 3.8 only) a _UK ISPV_.

1.2

In this Part, the following definitions shall apply:

admissible insurance and reinsurance obligations

means insurance or reinsurance obligations that meet all of the following requirements:

1. (1) the contracts that give rise to the insurance or reinsurance obligations are concluded before 1 January 2016;
2. (2) the technical provisions for the insurance and reinsurance obligations are determined in accordance with INSPRU 1.1.16 R of the PRA Handbook as at 31 December 2015; and
3. (3) the insurance or reinsurance obligations are not subject to a matching adjustment permission.

For the purposes of paragraph (1), the renewal of a contract does not give rise to a new contract.

[Note: Art. 308c(3) of the _Solvency II Directive_]

capital resources gearing rules

has the meaning set out in in the ___PRA Handbook_ Glossary as at 31 December 2015.

core tier one capital

means an item of capital that is stated in stage A (Core tier one capital) of the capital resources table at GENPRU 2 Annex 1 of the _PRA Handbook_ as at 31 December 2015 to be core tier one capital.

directive reorganisation measures

has the same meaning as in the Insurers (Reorganisation & Winding Up) Regulations 2004 (2004/353).

innovative tier one capital

means an item of capital that is stated in GENPRU 2.2 of the _PRA Handbook_ as at 31 December 2015 to be innovative tier one capital.

lower tier two capital

means an item of capital that is stated in stage H (Lower tier two capital) of the capital resources table at GENPRU 2 Annex 1 of the _PRA Handbook_ as at 31 December 2015 to be lower tier two capital.

perpetual non-cumulative preference share

means an item of capital that is stated in stage B (Perpetual non-cumulative preference shares) of the capital resources table at GENPRU 2 Annex 1 of the _PRA Handbook_ as at 31 December 2015 to be perpetual non-cumulative preference shares.

pre-Solvency II GCRR

means the requirement to maintain group capital resources that applied to a _UK Solvency II firm_ under _PRA_ rules as at 31 December 2015.

Solvency II rules

means the _PRA_ rules in the Valuation, Technical Provisions, Own Funds, Solvency Capital Requirement ? General Provisions, Solvency Capital Requirement ? Standard Formula, Solvency Capital Requirement ? Internal Models, Minimum Capital Requirement, Undertakings in Difficulty, Investments, Composites, Conditions Governing Business, Insurance Special Purpose Vehicles, Group Supervision, Reporting, Surplus Funds, With-Profits, Insurance - Certification, Insurance ? Conduct Standards, Insurance ? Senior Management Functions, Insurance ? Allocation of Responsibilities and Insurance ? Fitness and Propriety Parts of the _PRA_ Rulebook.

upper tier two capital

means an item of capital that is stated in stage G (Upper tier two capital) of the capital resources table at GENPRU 2 Annex 1 of the _PRA Handbook_ as at 31 December 2015 to be upper tier two capital

2

Firms in Run-Off

2.1

This Chapter does not apply to a _firm_ referred to in Insurance General Application 2.1(2).

2.2

Without prejudice to the exclusion that applies to _pure reinsurers_ referred to in Insurance General Application 2.2(7) and subject to 2.3, if a _firm_ has on the _Solvency II implementation date_ ceased to conduct new _insurance business_ and does not have a _Part 4A permission_ to _effect contracts of insurance_ the _Solvency II rules_ shall not apply to it until:

1. (1) unless (2) applies, the earlier of:

1. (a) 1 January 2019, where the _firm_ has demonstrated to the _PRA_ that it will terminate its activity before 1 January 2019; or

2. (b) the date upon which the _PRA_ notifies the _firm_ that the _firm_ has not demonstrated to the _PRA_ that sufficient progress has been made towards terminating the _firm's_ activity; or

2. (2) where the _firm_ is subject to _directive reorganisation measures_ and an administrator has been appointed, the

earlier of:

1. (a) 1 January 2021; or
2. (b) the date upon which the _PRA_ notifies the _firm_ that the _firm_ has not demonstrated to the _PRA_ that sufficient progress has been made towards terminating the _firm?s_ activity.

[Note: Art. 308b (1), (2) of the _Solvency II Directive_]

2.3

2.2 only applies:

1. (1) if the _firm_ is not part of a _group_ , unless all _undertakings_ that are part of the _group_ have ceased to conduct new _insurance business_ ;
2. (2) if the _firm_ provides the _PRA_ with an annual report setting out what progress has been made in terminating its activity; and
3. (3) after the _firm_ has notified the _PRA_ that it satisfies the requirements set out in 2.2.

[Note: Art. 308b (3) of the _Solvency II Directive_]

3

Reporting to the PRA and Public Disclosure

3.1

[Deleted]

3.2

A _firm_ must disclose its _SFCR_ under Reporting 3.1 by no later than:

1. (1) 20 weeks after the _firm?s_ financial year end in relation to its financial year ending on or after 30 June 2016 but before 1 January 2017;
2. (2) 18 weeks after the _firm?s_ financial year end in relation to its financial year ending on or after 1 January 2017 but before 1 January 2018;
3. (3) 16 weeks after the _firm?s_ financial year end in relation to its financial year ending on or after 1 January 2018 but before 1 January 2019;
4. (4) 14 weeks after the _firm?s_ financial year end in relation to its financial year ending on or after 1 January 2019 but before 1 January 2020.

[Note: Art. 308b (6) of the _Solvency II Directive_]

3.3

[Deleted]

3.4

[Deleted]

3.5

A _participating UK Solvency II firm_ or, if there are none, the _relevant insurance group undertakings_ must disclose the solvency and financial condition at the level of the _group_ under Group Supervision 18.1 by no later than:

1. (1) 26 weeks after the financial year end of the _participating UK Solvency II firm_ , ultimate _insurance holding company_ or ultimate _mixed financial holding company_ in relation to its financial year ending on or after 30 June 2016 but before 1 January 2017;
2. (2) 24 weeks after the financial year end of the _participating UK Solvency II firm_ , ultimate _insurance holding company_ or ultimate _mixed financial holding company_ in relation to its financial year ending on or after 1 January 2017 but before 1 January 2018;
3. (3) 22 weeks after the financial year end of the _participating UK Solvency II firm_ , ultimate _insurance holding company_ or ultimate _mixed financial holding company_ in relation to its financial year ending on or after 1 January 2018 but before 1 January 2019; and
4. (4) 20 weeks after the financial year end of the _participating UK Solvency II firm_ , ultimate _insurance holding company_ or ultimate _mixed financial holding company_ in relation to its financial year ending on or after 1 January 2019 but before 1 January 2020.

[Note: Art. 308b (8) of the _Solvency II Directive_]

3.6

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3.7

A _firm_ must comply with the rules in:

1. (1) Interim Prudential sourcebook for Friendly Societies Chapter 5; and
2. (2) Interim Prudential sourcebook for Insurers Chapters 9 and 12

of the _PRA Handbook_ as at 31 December 2015, as they were applicable to the _firm_ (including any _waiver_) at that date, in respect of financial years ending on or before 29 June 2016.

3.8

In respect of _financial year_ ending on or before 29 June 2016, a _UK ISPV_ must submit a copy of its annual audited financial statements within three _months_ of its _accounting reference date_ , but the report is only required if it was audited as a result of a statutory provision other than under _FSMA_.

4

Basic Own Funds

4.1

Notwithstanding Own Funds 3.1 to 3.3, a _firm_ with an item of _basic own-funds_ that:

1. (1) was issued prior to 18 January 2015;
2. (2) could be used as:
 1. (a) _core tier one capital_;
 2. (b) _perpetual non-cumulative preference shares_;
 3. (c) _innovative tier one capital_; or
 4. (d) _upper tier two capital_,
3. on 31 December 2015; and
4. (3) would not otherwise be included as _Tier 1 own funds_ or _Tier 2 own funds_ in accordance with Own Funds 3.1 to 3.2,

must include that item in _Tier 1 own funds_ for up to 10 years after 1 January 2016.

[Note: Art. 308b (9) of the _Solvency II Directive_]

4.2

Notwithstanding Own Funds 3.1 to 3.3, a _firm_ with a _basic own-fund_ item that:

1. (1) was issued prior to 18 January 2015;
2. (2) could be used as _lower tier two capital_ on 31 December 2015,

must include that item in _Tier 2 own funds_ for up to 10 years after 1 January 2016.

[Note: Art. 308b (10) of the _Solvency II Directive_]

4.3

For the purposes of 4.1 and 4.2, items listed at 4.1(2)(a) to (d) and 4.2(2) must not include any item that could only be used as the item specified by virtue of rule GENPRU TP 4 of the _PRA Handbook_ as at 31 December 2015.

5

Standard Formula: the Basic SCR

5.1

Notwithstanding Solvency Capital Requirement ? General Provisions 2, 3.1, 3.3, 3.4 and Solvency Capital Requirement ? Standard Formula 3.1 to 3.3, the standard parameters to be used when calculating the _market risk_ concentrations sub-module and the spread risk sub-module in accordance with the _standard formula_ must be adjusted as follows:

1. (1) until 31 December 2017, the standard parameters shall be the same in relation to exposures to _EEA States?_ central governments or central banks denominated and funded in the domestic currency of any _EEA State_ as the ones that would be applied to such exposures denominated and funded in their domestic currency;
2. (2) from 1 January 2018 the standard parameters must be reduced by 80% in relation to exposures to _EEA States?_ central governments or central banks denominated and funded in the domestic currency of any other _EEA State_ ;
3. (3) from 1 January 2019 the standard parameters must be reduced by 50% in relation to exposures to _EEA States?_ central governments or central banks denominated and funded in the domestic currency of an _EEA State_ ;
4. (4) from 1 January 2020 and onwards, the standard parameters must not be reduced in relation to exposures to _EEA States?_ central governments or central banks denominated and funded in the domestic currency of an _EEA State_.

[Note: Art. 308b (12) of the _Solvency II Directive_]

5.2

[Deleted]

5.3

[Deleted]

5.4

[Deleted]

6

Non-Compliance with the SCR

6.1

If a _firm_ complies with the _pre-Solvency II MCR_ but during 2016 does not comply with the _SCR_ :

1. (1) Undertakings in Difficulty 3.1(3) shall not apply;
2. (2) the _firm_ must take the measures necessary to achieve the establishment of the level of _eligible own funds_ covering the _SCR_ or the reduction of its risk profile to ensure compliance with the _SCR_ by 31 December 2017; and
3. (3) the _firm_ must, every three _months_ submit a progress report to the _PRA_ setting out the measures taken and the progress made to establish the level of _eligible own funds_ covering the _SCR_ or to reduce the risk profile to ensure compliance with the _SCR_.

[Note: Art. 308b (14) of the _Solvency II Directive_]

6.2

6.1 shall cease to apply where a progress report submitted in accordance with 6.1(3) shows that there was no significant progress in achieving the establishment of the level of _eligible own funds_ covering the _SCR_ or the reduction of the risk profile to ensure compliance with the _SCR_ between the date of the observation of non-compliance with the _SCR_ and the date of the submission of the progress report.

[Note: Art. 308b (14) of the _Solvency II Directive_]

7

Non-Compliance with the MCR

7.1

If on 31 December 2015 a _firm_ complies with the _pre-Solvency II MCR_ but does not hold sufficient _eligible own funds_ to cover the _MCR_ then:

1. (1) the _firm_ must comply with Minimum Capital Requirement 2.1 by 31 December 2016;
2. (2) Undertakings in Difficulty 4.1 will apply from 31 December 2016; and
3. [Note: Art. 131 of the _Solvency II Directive_]
4. (3) until 31 December 2016 a _firm_ must:
 1. (a) inform the _PRA_ immediately where it observes that the _pre-Solvency II MCR_ is no longer complied with or where there is a risk of non-compliance within the next three _months_ ; and
 2. (b) within one _month_ from the observation of non-compliance with the _pre-Solvency II MCR_ , submit, for approval by the _PRA_ , a short-term realistic _finance scheme_ to restore, within three _months_ of that observation, its capital resources, at least to the level of the _pre-Solvency II MCR_ or to reduce its risk profile to ensure compliance with the _pre-Solvency II MCR_.

7.2

Any _finance scheme_ submitted under 7.1(3)(b) must at least include particulars or evidence concerning the following:

1. (1) estimates of management expenses, in particular current general expenses and commissions;
2. (2) estimates of income and expenditure in respect of direct business, _reinsurance_ acceptances and _reinsurance_ cessions;
3. (3) a forecast balance sheet;

4. (4) estimates of the capital resources intended to cover the _pre-Solvency II MCR_ ; and
5. (5) the _firm?s_ overall _reinsurance_ policy.

8

Groups ? Internal Models

8.1

Notwithstanding Group Supervision 11.2, until 31 March 2022, the _group SCR_ of a _group_ based on consolidated data (consolidated _group SCR_) must be calculated on the basis of either:

1. (1) the _standard formula_ ;
2. (2) an approved _internal model_ , in a manner consistent with the general principles contained in the _SCR Rules_ ;
or
3. (3) approved _internal models_ , where each approved _internal model_ is applicable to a part of a _group_ where both the _UK Solvency II firm_ and the ultimate _parent undertaking_ are located in the _UK_ and that part of the _group_ forms a distinct part having a significantly different risk profile from the rest of the _group_.

[Note: Art. 308b (16) of the _Solvency II Directive_]

9

Groups

9.1

Where Group Supervision 2.1(1) or 2.1(2) applies, the following provisions apply (notwithstanding Group Supervision 4.1 to 4.2) with any necessary changes at the level of the _group_ :

1. (1) 4.1 to 4.2;
2. (2) 5.1;
3. (3) 8.1; and
4. (4) 11 to 13.

[Note: Art. 308b (17) of the _Solvency II Directive_]

9.2

Where Group Supervision 2.1(1) or (2) applies, if a _participating UK Solvency II firm_ or any _relevant insurance group undertaking_ complies with the _pre-Solvency II GCRR_ but during 2016 does not comply with the _group SCR_ :

1. (1) Group Supervision 4.4 shall not apply;
2. (2) the _relevant insurance group undertakings_ must take the measures necessary to achieve the establishment of the level of _eligible own funds_ covering the _group SCR_ or the reduction of the risk profile to ensure compliance with the _group SCR_ by 31 December 2017; and
3. (3) the _relevant insurance group undertakings_ must, every three _months_ submit a progress report to the _PRA_ setting out the measures taken and the progress made to establish the level of _eligible own funds_ covering the _group SCR_ or to reduce the risk profile to ensure compliance with the _group SCR_.

9.3

9.2 shall cease to apply where a progress report submitted in accordance with 9.2(3) shows that there was no significant

progress in achieving the establishment of the level of _eligible own funds_ covering the _group SCR_ or the reduction of the risk profile to ensure compliance with the _group SCR_ between the date of the observation of non-compliance with the _group SCR_ and the date of the submission of the progress report.

[Note: Art. 308b (17) of the _Solvency II Directive_]

10

Risk-Free Interest Rates

10.1

A _firm_ may only apply the _risk-free interest rate transitional measure_:

1. (1) in respect of _admissible insurance and reinsurance obligations_ ; and
2. (2) if it has received permission to do so from the _PRA_ pursuant to section 138BA of FSMA _.

10.2

Where a _firm_ applies the _risk-free interest rate transitional measure_ , it must calculate the adjustment for each currency as a portion of the difference between:

1. (1) the interest rate as determined by the _firm_ in accordance with INSPRU 3.1.28R to INSPRU 3.1.47R of the _PRA Handbook_ as at 31 December 2015; and
2. (2) the annual effective rate, calculated as the single discount rate that, where applied to the cash-flows of the portfolio of _admissible insurance and reinsurance obligations_ , results in a value that is equal to the value of the _best estimate_ of the portfolio of _admissible insurance and reinsurance obligations_ where the time value is taken into account using the _relevant risk-free interest rate term structure_.

[Note: Art. 308c(2) of the _Solvency II Directive_]

10.3

The portion referred to in 10.1 shall decrease linearly at the end of each year from 100% during 2016 to 0% during 2032.

[Note: Art. 308c(2) of the _Solvency II Directive_]

10.4

Where a _firm_ applies the _volatility adjustment_ in accordance with Technical Provisions 8, the _relevant risk-free interest rate term structure_ referred to in 10.2(2) shall be based on the risk-free interest rates adjusted with the _volatility adjustment_.

[Note: Art. 308c(2) of the _Solvency II Directive_]

10.5

A _firm_ that applies the _risk-free interest rate transitional measure_ must:

1. (1) not include the _admissible insurance and reinsurance obligations_ in the calculation of the _volatility adjustment_ ;
2. (2) not apply the _TMTTP_ ; and
3. (3) as part of its _SFCR_ publicly disclose that it applies the _risk-free interest rate transitional measure_ and the quantification of the impact of not applying the _risk-free interest rate transitional measure_ on its financial position.

[Note: Art. 308c(4) of the _Solvency II Directive_]

11

Technical Provisions [Deleted]

11.1

[Deleted]

11.2

[Deleted]

12

Phasing-In Plan

12.1

A _firm_ with approval to use the risk-free interest rate transitional measure must:

1. (1) immediately inform the _PRA_ as soon as it observes that the _SCR_ would no longer be complied with without application of the _risk-free interest rate transitional measure;_
2. (2) take the measures necessary to achieve compliance with the _SCR_ by 1 January 2032; and
3. (3) within two _months_ from the observation referred to in (1), submit a _phasing-in plan_ to the _PRA_.

[Note: Art. 308e(1) and (2) of the _Solvency II Directive_]

12.2

A _firm's_ phasing-in plan_ must set out the planned measures to establish the level of _eligible own funds_ covering the _SCR_ or reduce its risk profile to ensure compliance with the _SCR_ by 1 January 2032.

[Note: Art. 308e(2) of the _Solvency II Directive_]

12.3

A _firm_ that updates its _phasing-in plan_ must submit the updated _phasing-in plan_ to the _PRA_ within two months of updating its phasing-in plan.

[Note: Art. 308e(2) of the _Solvency II Directive_]

12.4

A _firm_ with approval to use the _risk-free interest rate transitional measure_ and that is required to submit a phasing-in plan in accordance with 12.1(3) must submit annually a report to the _PRA_ setting out the measures taken and progress made to ensure compliance with the _SCR_ by 1 January 2032.

[Note: Art. 308d(5) and 308e(3) of the _Solvency II Directive_]

13

Report on Financial and Solvency Conditions

13.1

This Chapter applies to a disclosure of the _SFCR_ by a _firm_ or, as may be applicable, the report on solvency and financial condition at the level of the _group_ by _participating UK Solvency II firms_ or the _relevant insurance group undertakings_ within the _group_, made in relation to the first two relevant financial years starting on or after the _Solvency II implementation date_.

13.2

In the disclosure required by Reporting 3.1, a _firm_ may, unless required under other legal or regulatory requirements, opt not to disclose the following separately when disclosing the amount of the _MCR_ and _SCR_ under Reporting 3.6:

1. (1) the information referred to in Reporting 3.6(2) on any _capital add-on_ imposed on the _firm_; and
2. (2) the information referred to in Reporting 3.6(3) on any _undertaking specific parameters_.

[Note: Art. 51(2) of the _Solvency II Directive_]

13.3

In the disclosure required by Reporting 3.1 as applied to a _group_ by Group Supervision 18.1, the _participating UK Solvency II firms_ or, if there are none, the _relevant insurance group undertakings_ may, unless required under other legal or regulatory requirements, opt not to disclose the following separately when disclosing the amount of the _group SCR_ under Reporting 3.6:

1. (1) the information referred to in Reporting 3.6(2) on any _capital add-on_ imposed on the _group_; and
2. (2) the information referred to in Reporting 3.6(3) on any parameters specific to the _group_.

[Note: Art. 256(1) and 51(2) of the _Solvency II Directive_]